

Human Resource Management System

SOW Document

Dear Client,

Thank you for choosing Texoky. Please find below the detailed Statement of Work for the Human Resource Management System (HRMS).

At Texoky, our mission is to accelerate digital transformation for businesses by delivering custom software solutions that are purpose-built, scalable, and aligned with how modern organizations actually work.

The HRMS described in this document is a custom-built application designed to move organizations from a traditional time-based productivity model to a value-based model - where employees are recognized and rewarded for the quality and impact of their work.

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1.0 Business Need

Based on requirements shared by the client and discussions during requirement gathering, we understand the current challenges as follows:

- The traditional system measures productivity based on hours worked rather than actual work completed.
- Employees who work efficiently and finish tasks quickly receive no additional recognition compared to those who take longer.
- When employees create valuable work - documents, reports, tools, or systems - there is no formal way to track who created what or reward them for it later.
- There is no structured way to measure each employee's professional value (qualifications, skills, and experience) in a consistent manner.
- Long-term contributions by employees are not recognized or rewarded in any systematic way.

The objective of this system is to move from a time-based approach to a value-based approach - where employees are recognized and rewarded for the quality and impact of their work.

The HRMS is built around four core areas:

- Employee Value Scoring (Base Professional Value - BPV)
- Outcome-Based Work Reporting
- Employee Work Ownership Tracking
- Long-Term Rewards and Recognition

2.0 Project Scope of Work

The project scope covers the complete design, development, and deployment of the HRMS across the following functional areas, based on the confirmed client requirements and Requirement Understanding Document (RUD v1.0).

2.1 Employee Profile (FR-01)

No	Module	Details
1	Employee Record	Full employee record covering personal details, qualifications, skills, experience, and certifications.
2	Profile Entry	HR Admin creates and manages employee records. Employees can view their own profile and add their qualifications and skills directly into the system.
3	BPV Trigger	The system automatically recalculates the employee's BPV score whenever their profile is updated (qualifications, skills, experience, or certifications).

2.2 BPV Score Engine (FR-02)

Each employee shall have a Base Professional Value (BPV) that represents their professional worth, calculated using configurable weighted factors as defined by the client.

No	Module	Details
4	Academic Qualifications	BPV contribution from highest educational qualification. Recognized levels: 12th Grade, Diploma, Undergraduate Degree (3-Year), Undergraduate Degree (4-Year), Master's Degree, Double Master's Degree, MBA, M.Tech / MS, PhD, Post-Doctoral Fellowship, and Professional Certifications.
5	Professional Experience	Additional BPV weighting based on: total years of experience, domain experience, enterprise experience, global organization experience, and leadership experience.
6	Organization Profile	Experience gained from different organization types contributes to BPV. Types include: Startup, Mid-size Organization, Enterprise Organization, Fortune 500 Companies, Government Organizations, and Research

No	Module	Details
		Organizations.
7	Technical Skills	Employee profile maintains: technologies mastered, programming languages, platforms, frameworks, cloud certifications, tools, methodologies, and industry certifications. Skill proficiency directly influences the BPV score.
8	BPV Formula & Weights	BPV = Education Score + Experience Score + Organisation Score + Technical Skill Score + Certification Score. The exact scoring values and weighting percentages for each factor are to be confirmed by the client before Phase 2 begins.
9	Configurable Scoring	Scoring weights and point values for each qualification level, experience band, organisation type, and skill proficiency tier are to be confirmed and signed off by the client. Once defined, HR Admins can adjust these through the system without any technical changes.

2.3 Work Task Assignment (FR-03)

No	Module	Details
10	Task Assignment	Manager assigns tasks to employees with expected deliverable and quality standards defined.
11	Task Tracking	System tracks what was assigned, to whom, and with what expected output and quality criteria.

2.4 Outcome-Based Work Reporting (FR-04)

Instead of requiring employees to log a fixed 8 or 8.5 hours daily, the system records what was assigned, what was delivered, and the quality of that work.

No	Module	Details
12	Work Delivery Report	Employee submits a report covering: assigned work, work actually completed, quality of output, and time taken (for reference only - not the primary measure of performance).

No	Module	Details
13	Time Reporting Options	Employees may report time as: 1 hour, 2 hours, 4 hours, or 6 hours - provided the assigned deliverable have been completed to the required quality standard. Completion of work, not occupancy of time, determines performance.
14	Manager Review	Manager reviews submitted work against expected quality standards and rates the output.

2.5 Efficiency Score (FR-05)

No	Module	Details
15	Efficiency Calculation	System calculates an efficiency score per employee based on output quality and time reference. An employee who finishes their work quickly at high quality is treated as more productive - not penalized for finishing early.
16	Efficiency Example	Employee A (15 yrs experience, completes task in 2 hrs, high quality) receives: lower time-reporting compensation, higher annual performance incentives, and higher efficiency score. Employee B (same experience, same task in 6 hrs) receives: higher time-reporting allocation but lower efficiency incentives if the additional time does not result in higher business value.
17	Incentive Linkage	Efficiency score is used during performance reviews and annual incentive decisions. The objective is to reward efficiency rather than prolonged task duration.

2.6 Dual-Component Salary Structure

As defined in the client requirements, employee salary shall contain two components:

No	Module	Details
18	Component 1 - BPV Salary	The majority of employee compensation, determined by: qualifications, experience, skills, expertise, and market value (BPV). This component remains largely independent of daily time reporting.

No	Module	Details
19	Component 2 - Time Reporting Value	A relatively small variable component that compensates employees for operational work tracking. Not intended to dominate overall salary.

2.7 Work Ownership Registry (FR-06 / FR-07)

Every piece of work created by an employee shall be registered in the system with full ownership information.

No	Module	Details
20	Asset Types	Registered assets include: source code, documents, designs, automation scripts, AI prompts, configuration files, architecture documents, knowledge articles, data models, reports, and dashboards.
21	Ownership Metadata	Each asset records: Creator, Contributors, Reviewer, Approver, Owner, Creation date, and full Version history.
22	Contribution Tracking	If multiple employees contributed to a piece of work, each person's share of contribution is recorded. This ensures fair recognition when rewards are calculated.
23	Version History	Every change to a registered work item is tracked with contributor details. (FR-07)
24	Documentation Requirement	Every owned asset must include: documentation, implementation guide, maintenance instructions, dependencies, usage instructions, and version history - ensuring future maintainability and business continuity.
25	Post-Exit Ownership	If an employee leaves, operational ownership of their work transfers to the Organization. Their authorship and contribution history remain permanently in the system.

2.8 Reward Framework (FR-08)

The system supports a configurable reward framework where employees can receive financial recognition for the long-term value created by their work.

No	Module	Details
26	Reward Types	Supported reward formats: annual bonus linked to work impact, royalty-style payments based on asset value generated, innovation incentives for significant contributions, profit-sharing, and long-term recognition awards.
27	Reward Basis	Rewards may be tied to measurable business outcomes: revenue generated, operational cost savings, productivity improvements, customer adoption, intellectual property value, and strategic business impact.
28	Configurable Rules	HR and Finance teams define reward types, eligibility rules, and calculation methods through the system. No development changes are needed to adjust these rules.
29	Multi-Contributor Split	When multiple employees own an asset, the reward split is configured by HR/Finance and applied accordingly.

2.9 Beneficiary Nomination (FR-09)

No	Module	Details
30	Beneficiary Nomination	Employees can nominate beneficiaries for eligible long-term reward payments.
31	Beneficiary Types	Eligible beneficiaries: spouse, children, family members, legal heirs, charitable Organizations, NGOs, educational institutions, orphanages, and trusts.
32	Default Handling	If no beneficiary has been designated, any remaining benefits shall be handled according to applicable Organizational policy and legal requirements.

2.10 HR Dashboard (FR-10)

No	Module	Details
33	HR Dashboard	Consolidated view for the HR team: BPV scores across all employees, skill matrix, pending profile verification, and configuration panel for scoring weights, qualification masters,

No	Module	Details
		and reward rules.

2.11 Finance Dashboard (FR-11)

No	Module	Details
34	Finance Dashboard	Consolidated view for the Finance team: reward records, reward approval queue, budget impact summary, and payment history.

2.12 Admin Configuration (FR-12)

No	Module	Details
35	Configuration Panel	All scoring weights, reward rules, and eligibility criteria are managed through the system by HR and Finance admins. No code changes are needed for any policy update.
36	User & Role Management	System Admin creates, edits, and deactivates user accounts. Role assignment: Employee, Manager, HR Admin, Finance Admin, System Admin.
37	Audit Trail	Full audit trail of all configuration changes, approvals, and score recalculations.

2.13 Technology Stack

The following is the confirmed technology stack currently in use for the HRMS build. These choices are locked architectural decisions.

Layer	Technology	Notes
Frontend Framework	Next.js 15 (App Router)	Modern React framework with server-side rendering and App Router architecture.
Frontend Language	TypeScript	Type-safe development across the entire frontend codebase.

Layer	Technology	Notes
UI Styling	Tailwind CSS	Utility-first CSS framework enforcing consistent design across all modules.
Data Fetching	TanStack Query v5	Server-state management with caching, background refetching, and optimistic updates.
Backend Framework	Express.js v5 (TypeScript)	Application server handling all API routes and business logic.
Database	PostgreSQL 16	Primary relational database for all employee, scoring, ownership, and reward data.
ORM	Prisma 7	Type-safe database access layer with schema-driven migrations.
Authentication	JWT + Role-Based Access Control	Secure login with role-based permissions enforced at the API layer.
Frontend Hosting	To be confirmed with client	Cloud hosting provider to be agreed before infrastructure setup.
Backend / DB Hosting	To be confirmed with client	Cloud hosting provider to be agreed before infrastructure setup.

2.14 Out of Scope - Phase 1

The following are explicitly NOT included in Phase 1 and may be considered for future phases:

- Integration with external accounting or ERP systems
- Mobile application (Phase 1 is web-based only)
- Performance appraisal workflows
- Advanced reporting and data export (planned for a later analytics module)

3.0 Resources

The project team will comprise the following:

- 1 - Technical Lead
- 1 - Frontend Developer
- 1 - Backend Developer

Additional resources may be added based on scope expansions, deliverable delays, or requirements to meet timeline commitments.

3.1 Pricing Breakup

Item	Description	Cost
Development	[To be confirmed]	[TBD]
Infrastructure / Hosting	[To be confirmed]	[TBD]
Post-Launch Support	[To be confirmed]	[TBD]
Total		[TBD]

4.0 Timeline

The proposed project scope is planned to be completed within approximately [TBD] weeks. The phases below are structured around the 12 functional requirements confirmed in the RUD.

Estimated time: 8 hrs/day × 5 days/week = 40 hrs/week.

Phase	Duration	Weeks	Key Deliverables
Phase 1: Foundation Database schema, PostgreSQL + Prisma setup, JWT authentication, role-based access control (Employee, Manager, HR Admin, Finance Admin, System Admin), CI/CD pipeline, hosting setup.	~2 weeks	Week 1–2	Auth, roles, DB schema, hosting.
Phase 2: Employee Profile & BPV Engine (FR-01, FR-02) Employee record creation and management. BPV score engine with all weighted factors: qualifications (12th–Post-Doc), experience types, org profile types, technical skills and proficiency. Configurable weight management for HR Admin. Auto-recalculation on profile update.	~3 weeks	Week 3–5	Working employee profiles, BPV score calculated with all factors.
Phase 3: Work Reporting & Efficiency (FR-03, FR-04, FR-05) Task assignment by Manager. Employee work delivery reporting (assigned, delivered, quality, time). Time reporting options (1/2/4/6 hrs). Efficiency score calculation. Manager review workflow.	~2 weeks	Week 6–7	Task reporting, manager review, efficiency score.
Phase 4: Salary Structure Dual-component salary configuration: Component 1 (BPV-based) and Component 2 (time-reporting variable). HR/Finance configure split ratios and salary bands through the Admin UI.	~1 week	Week 8	Salary structure engine.
Phase 5: Work Ownership Registry (FR-06, FR-07) Asset registration with	~2 weeks	Week 9–10	Asset registry, version history,

Phase	Duration	Weeks	Key Deliverables
ownership metadata (creator, contributors, reviewer, approver, owner). Version history tracking. Documentation compliance (implementation guide, maintenance instructions, dependencies, usage instructions). Post-exit ownership transfer.			documentation compliance.
Phase 6: Rewards & Beneficiary (FR-08, FR-09) Configurable reward framework (annual bonus, royalty, profit-sharing, innovation incentive). Reward basis configuration (revenue, savings, productivity, IP value). Multi-contributor split. Beneficiary nomination (spouse, children, heirs, NGOs, trusts, etc.).	~2 weeks	Week 11–12	Reward engine, beneficiary management.
Phase 7: Dashboards & Admin Config (FR-10, FR-11, FR-12) HR Dashboard (BPV scores, skill matrix, pending verification, config panel). Finance Dashboard (reward records, approvals, budget impact, payment history). Admin Configuration panel. User and role management. Audit trail.	~1–2 weeks	Week 13–14	HR & Finance dashboards, admin panel, audit log.
Phase 8: UAT, Training & Handover User acceptance testing. Staff training per role. Data migration (employee master import). Production deployment. Documentation and handover.	~2 weeks	Week 15–16	Production deployment, trained users, handover docs.
Total Approximate Duration	[TBD] weeks	—	—

Important Note - Frontend Design Reference

A frontend design sample or UI reference (wireframes, brand guidelines, or an approved design file) is required before frontend development can begin.

If a design reference is not provided, frontend development cannot commence as scheduled

and the overall delivery date will be directly impacted.

Required before Phase 1:

- Approved brand guidelines (logo, colour palette, typography)
- UI wireframes or design reference files (Figma, XD, PDF, or equivalent)
- Any screen-level UX preferences specific to the Organization

** This timeline will have an impact if there is a delay in decisions / assumptions change / change requests / additional scope / or delay in UAT sign-off.*

** Any tasks beyond the scope of the phases outlined will entail additional effort and will be subject to separate cost.*

5.0 Roles of Each Team

Team	Role	Description
Texoky	Technical Lead	Owns overall architecture, database schema, authentication, role-based access control, BPV engine logic, and code review across all modules. Manages timeline, client liaison, and phase sign-offs.
	Frontend Developer	Builds all user-facing screens and workflows using Next.js 15, TypeScript, Tailwind CSS, and TanStack Query. Responsible for Employee, Manager, HR Admin, and Finance Admin UI flows.
	Backend Developer	Builds all API routes, business logic (BPV engine, efficiency scoring, reward calculation), database models using Prisma + PostgreSQL, authentication, and integrations.
Client Team	Project Sponsor	Provides overall direction, reviews progress, approves milestones, and authorizes phase sign-offs.
	HR / Finance Point of Contact	Designated staff member with sign-off authority. Defines BPV scoring weights, qualification score values, reward rules, and salary band configurations before the relevant phases begin. Provides branding and design reference assets. Facilitates staff availability for UAT.

6.0 Key Assumptions

The following assumptions have been made based on the client requirements document and RUD discussions. The client is requested to confirm or correct these before development begins.

- All necessary data and access credentials will be provided by the client in a timely manner.
- Any change in project requirements, design, or functionality will follow a formal change request process and may impact cost and schedule.
- The client will designate a Point of Contact with sign-off authority before development begins.
- The client will provide approved branding assets (logo, colour palette, typography) and a frontend design reference (wireframes or design files) before the end of Phase 1. Delay in providing these assets will directly impact the frontend development timeline and the overall delivery date.
- BPV scoring weights, qualification score values, experience band points, organisation type scores, and skill proficiency multipliers are all to be confirmed and signed off by the client before Phase 2 begins. These values are a hard dependency - the BPV engine cannot be built until they are finalized.
- The reward calculation rules and eligibility criteria will be defined by HR and Finance before Phase 6 begins.
- Employee data (if any) currently exists in spreadsheets or a legacy system. The client will provide this data in an agreed format for migration before the handover phase.
- Hosting environment (cloud provider and region) will be confirmed before Phase 1 infrastructure setup.
- The client will provide or arrange an email server or third-party email service for system notifications.
- Any regulatory or compliance requirements applicable to the client's jurisdiction must be communicated before development begins.
- User training will be supported by user documentation provided by Texoky.

7.0 Project Methodology and Execution

Texoky will follow an Agile-based iterative development methodology, accelerated by AI-assisted code generation (Claude Code), to ensure flexibility, transparency, and alignment with requirements.

1. Requirement Analysis & Configuration Workshops

- Review of RUD v1.0 and client requirements document with scope sign-off.
- Configuration workshops with HR and Finance teams to define BPV scoring weights, qualification values, salary band configurations, and reward rules before development of the relevant phases begins.
- Sign-off meeting locking scope, architecture, and Phase 1 out-of-scope items.

2. Design & Architecture

- System design, PostgreSQL schema, API design, and frontend wireframes.
- Client to provide approved brand guidelines and UI design reference before frontend design and development begins.
- Design reviewed and signed off by the client Point of Contact before development commences.

3. Development

- Module-by-module development following the phase schedule in Section 4.0, built by the Technical Lead, Frontend Developer, and Backend Developer.
- Claude Code used for boilerplate generation - engineers focus on BPV engine logic, reward calculations, and ownership tracking accuracy.
- Unit and integration testing at the end of each phase.

4. UAT

- Client team performs User Acceptance Testing against agreed success criteria per module.
- HR and Finance Admins validate the configuration panel with real Organizational data.
- Bug fixes and adjustments completed before production deployment.

5. Deployment, Training & Handover

- Staff training: hands-on sessions per role (Employee, Manager, HR Admin, Finance Admin, System Admin).
- Data migration: employee master import from existing system, verified before go-live.
- Handover documentation, technical walkthrough, and post-deployment support during the warranty period.

8.0 Prerequisites

- Approval of the final architecture and technology stack before development begins.
- Designation of a client Point of Contact with sign-off authority.
- BPV scoring weights, qualification score values, experience bands, and Organization type scores confirmed by HR Admin before Phase 2 begins.
- Reward calculation rules and eligibility criteria confirmed by HR and Finance before Phase 6 begins.
- Approved brand guidelines and frontend design reference (wireframes, Figma files, or equivalent) provided before the end of Phase 1. This is a hard dependency for frontend development to begin.
- Hosting environment confirmed before Phase 1 infrastructure setup.
- Employee data provided in an agreed format before the data migration phase.
- Email server or third-party email service confirmed before notification features are built.
- Confirmation of any regulatory or compliance requirements before development begins.
- Timely availability of feedback and prompt communication from both sides throughout the project.

Frontend Design Dependency

A frontend design sample or UI reference is required before frontend development can begin.

This includes brand guidelines (logo, colours, typography) and screen-level wireframes or approved design files.

If these are not provided, frontend development cannot commence as scheduled and the overall project delivery date will be impacted accordingly.

9.0 Inclusions & Exclusions

Inclusions

- End-to-end system design, development, and deployment covering all 12 functional requirements (FR-01 to FR-12) as confirmed in the RUD.
- Employee profile management and BPV score engine with all weighted factors (qualifications, experience, org profile, skills, certifications).
- Configurable BPV scoring weights managed by HR Admin through the system - no code change required.
- Outcome-based work task assignment and delivery reporting.
- Time reporting options (1/2/4/6 hours) with efficiency score calculation.
- Dual-component salary structure (BPV-based component + time-reporting variable component).
- Work ownership registry with full metadata (creator, contributors, reviewer, approver, owner, version history).
- Documentation compliance requirements per owned asset.
- Configurable reward and incentive management (annual bonus, royalty, profit-sharing, innovation incentive).
- Beneficiary nomination management (spouse, children, heirs, NGOs, trusts, etc.).
- HR Dashboard, Finance Dashboard, and Admin Configuration panel.
- Role-based access control for all five system roles.
- Data migration: employee master import from existing system.
- User documentation and post-deployment support during the warranty period.
- Revisit of estimates and timeline for any change request or additional requirements.

Exclusions

- Integration with external accounting or ERP systems (Phase 1).
- Mobile application - Phase 1 is responsive web only.
- Performance appraisal workflows (Phase 1).
- Advanced reporting and data export module (planned for a later phase).
- Hardware or on-premise infrastructure procurement.
- Logo design and professional brand identity creation (client to provide assets; design work is at additional cost if required).
- UI/UX wireframing and design (client to provide; if unavailable, design effort will be scoped and priced separately - and will impact delivery timeline).
- Email server setup (client to provide or arrange a third-party email service).
- Continuous support beyond the agreed warranty period (unless extended support is contracted separately).
- Any additional feature requests beyond the defined scope in Section 2.0.

10.0 Authorization

IN WITNESS WHEREOF, the parties hereto have executed this Statement of Work as of the Effective Date.

Authorized Signatory, Texoky	Authorized Signatory, Client
Name: _____	Name: _____
Designation: _____	Designation: _____
Date: _____	Date: _____